

means of bond issues. In the writers' view both of these widespread notions are quite incorrect. Otherwise there would be no really sound basis for any bond financing. For they imply that only weak companies should be willing to sell bonds—which, if true, would mean that investors should not be willing to buy them.

Proper Theory of Bond Financing. The proper theory of bond financing, however, is of quite different import. A reasonable amount of funded debt is of advantage to a prosperous business, because the stockholders can earn a profit above interest charges through the use of the bondholders' capital. It is desirable for both the corporation and the investor that the borrowing be limited to an amount which can safely be taken care of under all conditions. Hence, from the standpoint of sound finance, there is no basic conflict of interest between the strong corporation which floats bonds and the public which buys them. On the other hand, whenever an element of unwillingness or compulsion enters into the creation of a bond issue by an enterprise, these bonds are *ipso facto* of secondary quality and it is unwise to purchase them on a straight investment basis.

Unsound Policies Followed in Practice. Financial policies followed by corporations and accepted by the public have for many years run counter to these logical principles. The railroads, for example, have financed the bulk of their needs through bond sales, resulting in an overbalancing of funded debt as against stock capital. This tendency has been repeatedly deplored by all authorities, but accepted as inevitable because poor earnings made stock sales impracticable. But if the latter were true, they also made bond purchases inadvisable. It is now quite clear that investors were imprudent in lending money to carriers which themselves complained of the necessity of having to borrow it.

While investors were thus illogically lending money to weak borrowers, many strong enterprises were paying off their debts through the sale of additional stock. But if there is any thoroughly sound basis for corporate borrowing, then this procedure must also be regarded as unwise. If a reasonable amount of borrowed capital, obtained at low interest rates, is advantageous to the stockholder, then the replacement of this debt by added stock capital means the surrender of such advantage. The elimination of debt will naturally simplify the problems of the management,